He Thought He Invested in SpaceX. Then His Shares Vanished.

Podcast: Wall street journal

AI Executive Summary

1. **Core Thesis** The episode investigates how Special Purpose Vehicles (SPVs) marketed to retail investors allow them to access pre-IPO opportunities in companies like SpaceX, but often result in significant losses due to the opaque, multi-layered ownership structures and minimal regulatory oversight that SPVs operate in. The case of investor Ram Ruparedi illustrates how a legitimate-seeming investment promise—holding shares until IPO for liquidity—was complicated by an offshore chain of funds that allowed shares to be sold prior to going public, leaving investors exposed to the risk of receiving far less than the promised value or no liquidation at all when anticipated.

2. **Key Arguments & Data**

3. **Investment Structure:** SpaceX operated as a private company for ~25 years, raising capital from ~2,000 private investors before regulatory disclosure was required. SPVs allowed these firms to sell "interest" (exposure) to non-insider investors without direct ownership of shares.
4. **Financials vs. Reality:**
    - Ram Ruparedi invested **$17,000** in Late Stage Management.
    - Expected IPO Value: Shares valued at over **$300,000**.
    - Actual Outcome: Account showed only **$45,450** liquid; shares reported as sold on December 31st (transcript date context implies ~1.5 years before the IPO date).
    - SPV Chain: Ruparedi's funds were layers removed from actual SpaceX stock (Late Stage managed by Capital Truths in the Bahamas repackaged interests to Late Stage).
5. **Regulatory Gaps:**
    - SPVs are lightly regulated compared to mutual funds.
    - Not required to file audited financials, detailed income statements, or require Commission approval before raising money.
    - No requirement for public reporting of holdings to investors.

6. **Corporate Actions:** Late Stage Management claimed shares were sold ahead of the planned IPO date; offering documents promise to hold shares until a "liquidity event" (IPO/Acquisition), which was violated. Late Stage management physically closed or moved out 3 years prior to the incident.

7. **Investor Response:** Ruparedi and others raised concerns with the SEC, describing the lack of transparency as "audacity."

8. **Actionable Takeaways**

9. **Verify SPV Layers:** When investing in pre-IPO exposure through funds or trusts, determine how many layers exist between you and the actual company; the closer you are to direct shares, the lower the risk of loss.
10. **Read Offering Documents:** Specifically check for clauses regarding "liquidity events." If documents do not promise delivery of shares upon IPO or acquisition, understand the legal risks of early selling via these intermediaries.
11. **Watch Regulatory Compliance:** Recognize that SPVs operate in a regulatory gray area and are subject to less oversight than traditional mutual funds; investors should verify if the fund has audited financials or independent reporting mechanisms.
12. **Document Communication:** If promised shares do not materialize, maintain records of communication (like the email chain with tax administrators) as potential grounds for legal action or SEC investigation.

Full Transcript

Back in 2020, a data engineer named Ram Ruparedi was feeling lucky. He had gotten a chance to buy into one of the hottest tech companies in the world. He was speaking to friends and one of them mentioned to him, hey, I have some opportunities to buy into companies before they go public. And pop on his list was the opportunity maybe to buy shares of SpaceX. Elon Musk's rocket company. Our colleague Corey Dreebush spoke with Rupiretti about it. My friends knew that, you know, I invested in SpaceX for a long time, right? Wherever I go, they used to teach me, now you are a billionaire, you have this many stocks and all of stocks. So, you know. Because Rupiretti got in as a pre-IPO investor, it meant that whenever SpaceX went public, he was set to potentially make a lot of money. When he bought into the shares in late 2020, And early 2021, the valuation of SpaceX was around 58 billion. So as that valuation grew, his plans grew as well. One of his children is going to be a senior this fall in high school. So in his head, this will pay for that college education. But the way Rupert was invested in SpaceX was pretty complicated. It was through something called a special purpose vehicle, or SPV.

He wasn't buying the actual shares of the company. He was buying a share or an interest in a fund, and the fund supposedly held shares of the company. So he was a little bit removed. He was a little bit removed, and as we continue, we'll understand how far removed he ended up being. SPVs can be a lucrative way to get access to private markets, but they can also be risky. And they're mostly unregulated. When SpaceX went public earlier this year, lots of investors made bank. But Rupert Edy found out that his shares were missing from his account. His dream of a windfall quickly turned into a bit of a logistical nightmare. Welcome to The Journal, our show about money, business, and power. I'm Jessica Mendoza. It's Thursday, August 13th. Coming up on the show, the SpaceX shares that vanished before investors could cash in. For about 25 years, SpaceX operated as a private company. So private companies, they need a lot of money, especially private companies with as great of ambitions as SpaceX has. They need money to fund that. So throughout their growth as private companies, they sell shares to raise capital.

SpaceX invited an elite group of people to invest in the company by buying those shares. So investors venture capital funds, think family offices or other friends, as we've written about friends of Musk himself, were early backers in SpaceX. So every time SpaceX was doing a share sale, they were offered oftentimes first the shares to purchase. Okay. But A rule that regulators have, that the Securities and Exchange Commission has, is that you can only have up to 2,000 investors who are listed on what is called like your capitalization table for a private company before you have to start putting out more financial disclosures. Otherwise, you essentially are almost forced to become a public company. So over time, SpaceX would go back to the same pool of investors who then found themselves with a lot of shares.

And many of those investors realized they wanted to do something with them. And maybe if you think about a venture capital firm who has bought in for many, many years, they don't need to buy another 100 million worth of shares. But they don't want to miss out on that opportunity either. So they started to turn around and say, you know what? We will buy, give us 50 million worth of shares, say I'm just giving a hypothetical. We will create a fund. A fund or special purpose vehicle where investors can put their private company shares, in this case, SpaceX, and sell exposure, also called interest, to someone who isn't one of the company's millionaire investors. We will sell interest to other investors who otherwise have no way of accessing SpaceX, aren't friends with Musk, don't have a connection. And they've figured, oh, we're doing a service.

Also, we're going to attach a nice little fee on there. So we're going to make money in the process, too. And ultimately, what SPVs do is create an opportunity for more people to invest in buzzy companies before they go public. But SPVs aren't actually selling shares of a company. They're selling exposure to or interest in the company's shares. As a lawyer described to me, it's like a trust exercise. You're being told, you know, When this company goes public, we promise we will deliver these shares. You have to trust that. You have to trust that they have the shares and that they will deliver them to you when they say they will. And people can make money from SPVs, even Ram Rubaredi. He'd invested in other companies through SPVs in the past. And in those cases, things went smoothly. Fees were taken

out, as to be expected. And he said he didn't actually make that much money.

But he didn't lose money, and he felt that it displayed some trust that, OK, this works. This is what happens. And if it's a high-flying stock, they have the chance to have made a lot of money. But that's not what happened with Rupertetti's investment in SpaceX. This was an example of how things can go wrong. To get exposure to SpaceX, Rupertetti invested over 17,000 in an SPV. run by a firm called Late Stage Management. Okay, so tell me about Late Stage Management, this investment firm that Rupertty put money in. What do we know about it? So, Late Stage was based in New Jersey. It was founded in 2015, and it marketed itself to individual investors as a way to access the busiest hot tech companies before they went public.

It advertised that it only made money once a company shares went public. And so investors like Rupert Edy believed that their shares wouldn't be sold until after their IPOs. And for the most part, everything seemed pretty legit to Rupert Edy. There was an online portal where he could look at his investments. Late stage also sent him tax forms every year. But it turns out that late stage wasn't directly invested in SpaceX. It was actually invested in another SPV. So instead there were multiple layers between it and the actual SpaceX shares. If you remember when I told you that early investors have access to this SpaceX stock, they buy them, they put them in the funds, and then they sell the interest.

Well sometimes somebody who buys that interest decides we want to create our own fund and sell interest in that SPV So that's a second layer removed sometimes there can be third layers or fourth layers as well So the farther you get away from the actual SpaceX stock the more complicated things get right so it was like SPVs all the way down. Yeah From what we can understand and from what our reporting shows, a private offshore investment firm based in the Bahamas called Capital Truths acquired a portion of an SPV that owned pre-IPO SpaceX shares. It then appears to have repackaged the interests, sold them to late stage. And that exposure was what Rupert Edy had purchased. For years, he didn't realize how far removed he was.

And did you know that these were SQDs? Like did they talk about that with you? Yeah, I was not really sure that it was SPV. You were not really sure? I'm not sure. The reality was that Rupert was layers away from owning SpaceX stock. That became clear to him when SpaceX went public and his shares were nowhere to be found. That's next. In June, SpaceX launched its IPO in one of the biggest public offerings in history, setting the stage for what could become the largest stock market listing on record. The company was valued at 1.77 trillion, and lots of people were excited about the possibility of making big money, including Ram Rubaredi. I was thinking, this is going to be, you know, it was a lot of fortune, right, you know, basically. Did you celebrate to have like a...

Fancy dinner with your wife. Oh, yes. We get out for dinner that day. Understandably, when he started hearing the potential valuations or how much SpaceX could be worth at its IPO, he got excited. Lots of zeros there. Lots of zeros. Trillion dollars. Who could imagine? He said the day of the IPO, many of his friends knew he had purchased shares in this SPV and were texting him, congratulating him, his neighbors were joking, when are you going to throw a big party to celebrate? So there was a lot of excitement. Rupertty estimated that he had 2,500 shares in SpaceX and that after the IPO, those shares would be worth more than 300,000. Shortly after SpaceX went public, Rupertty went online to look at his late-stage account.

But the portal was down. He couldn't access the portal, and he got nervous. When the portal came back online, his late-stage account said for the first time that his SpaceX holdings were sold on December 31, 2024. That meant the shares of SpaceX he had exposure to had been sold a year and a half earlier, long before the IPO. This was news to Rapparetti. He says he tried to get a hold of Late Stage. He called Late Stage's mainline dozens of times, but he said no one answered. So on June 23rd, he wrote to Late Stage's operations email address asking for clarification, noting that this update raised a lot of questions. He also added an administrator at a New Jersey accounting firm that handled Late Stage's tax forms to the email chain. He just wanted...

another person to maybe be able to respond to him. The tax administrator responded, telling Rupert Edy that they were conducting a comprehensive

review. She said they would have information for him in a few months. He also got a message from late stage's main email address that told him that the tax administrator couldn't tell him anything about the online portal and that the portal was under maintenance. And then three days later, The operations email sent a note saying the portal would be back up and working later that day. And when he logged on, his account showed he no longer held any SpaceX shares, but that his prior investment had resulted in 45,450 in his account, which he could claim. More than 45,000 isn't nothing. But remember, Rupert Edy believed he was going to get 300,000.

because he thought his shares would be sold after SpaceX's IPO, not a year and a half before. the positions. So can an SBV do that, sell a share before the company goes public? It all comes down to what their offering documents say and most say provide a promise that it is the plan is to hold on to the shares until a liquidity event the company is acquired or goes public. So it is rarely an expectation that it would be sold ahead of time. Late stage didn't respond to repeated requests for comment. The journal attempted to deliver questions to late stages listed address, but a property manager at the building said the company moved out three years ago. So I guess like what ultimately happened to Rupert? I think that really And this was described to me by a lawyer that ultimately, if you are investing in something, you need to make sure that you own what you think you own. And it's hard to do. But the closer one is to the actual shares, the better it seems. That's what some legal experts have told me. It's hard to say what exactly happened with Rupa Reddy. And that is now something that is being investigated.

Ruparete says he hasn't cashed out what's in his late-stage account because he believes he's owed more. Some investors have hired lawyers to fight for what they say they're owed. I'm from India, originally. But I did not expect these things to happen in the US. But I was amazed by the audacity of these people. They could pull off something like this. The journal spoke to four other investors who shared similar complaints about late-stage SPVs. Some, including Ruparete, have raised the issue with the SEC. As to how all this could happen, well, SPBs aren't really regulated that much. SPBs are pretty lightly regulated. They're not subject to the same oversight as mutual funds say. They aren't required to publicly report to their investors or what their

holdings are. And they aren't required to file audited financials or detailed income statements. And they don't even need a CC approval before they can raise money. So they sort of operate in a much more gray area, I would say. And so like, what does their existence sort of tell us about the state of the IPO market or the ways that people want to or are able to invest their money? I think it speaks to this excitement about risk. It seems that traders and investors want ways to have the potential to earn a lot of money faster. And also this recognition that pre-IPO investing has enriched so many people. Those lucky investors, they're millionaires if not billionaires from those investments. And there's sort of become a almost a two-stock market system, the stock market for the rich, is the private markets. And SPVs grew from that, this feeling that if you're not the super wealthy, maybe you can gain access to SpaceX or OpenAI or Anthropic through these SPV funds. And you were so desperate to be a part of that club of pre-IPO investors that Many people started ignoring the risks or the red flags of maybe this is very far removed, maybe this won't be, this won't look like what I think it's going to look like. So in a season that is looking at a lot of big IPOs, I mean, could SPVs spell trouble or greater risk for people? I think it remains to be seen going off of reader feedback.

From my story that published, it seems there's a lot of concerns about SPVs that are currently out there. So I think we're going to be writing a lot more about SPVs in the coming months. That's all for today, Thursday, August 13th. The journal is a co-production of Spotify and the Wall Street Journal. If you like our show, follow us on Spotify or wherever you get your podcasts. We're out every weekday afternoon. Thanks for listening. See you tomorrow.